Global FX weekly

Means to a Yen

04 September 2026

FX Research
Global

The View

G10 FX. UST activism raises credibility stakes for Fed. USD/JPY 155 – third time lucky? Long end sell-off a sideshow for FX, for now.

EM FX. Buybacks are broadening the attraction of EM carry with underlying inflation and growth dynamics improving.

G10 Themes

JPY. Policy risk narrative stretched – sell USDJPY.

JPY. Repatriation/rate hikes can outweigh fiscal expansion, flattening JGB curve.

ECB preview: 25bp hike, hawkish bias stays. Slightly negative but likely limited FX risks.

AUD. Buy AUDSGD – AUD to benefit from hikes, commodities; SGD attractive funder.

G10 FX. Busy fiscal calendar ahead; fiscal dominance is not a uniquely US story.

EM Themes

EM FX. Buy back EM

Asia FX. Short THB vs Long MYR & INR basket

Asia FX. Asia FX Monthly – CNY leads as summer carries on

EMEA FX. Short-term weakness before a rally

LatAm. El Niño comes with inflation under his arm

Quant & Vol Insights

Vol is low, but macro risks argue against complacency into year-end. USD downside premium has faded too far relative to event risk; EURUSD calls and USDCHF puts screen favourably. For investors more confident of Fed credibility, USDCAD calls screen well.

Technicals

DXY tracking Trump's 1st term, which included a relevant correction in August, then higher highs. For repeat pattern to persist, 97.90 needs to hold on closes.

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G10 FX Strategy
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Key views, forecasts and latest trades

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Exhibit 1: Our medium-term views
G10 and EM FX medium-term views

G10	Following the July FOMC, we closed our short EURUSD trade recommendation. The July FOMC press conference injected uncertainty around the Fed's inflation-fighting commitment, while the UST's buybacks announcement added further pressure on the USD. However, Chair Warsh's Jackson Hole speech, still-solid US data, and the escalation in the Middle East have supported USD and could continue doing so until the Euro area growth recovery gathers steam. We retain a constructive medium-term EUR bias but, in the near term, require greater clarity on the Fed's reaction function. We are bullish on JPY, forecasting USDJPY at 149 by year-end, supported by improving JP fundamentals and our expectation of faster BoJ hikes. Elsewhere, we maintain a constructive medium-term view on GBP but prefer to await greater clarity on UK policies. We remain positive on AUD and NZD, with a preference for AUD in the near term. We also retain a bullish bias on SEK, while leaning bearish on NOK, CAD and CHF.
EM	EM FX performance remains variable, but NE Asia FX is making a comeback with KRW leading on strong export gains due to the AI investment boom, with long TWD also becoming popular. Our preference is for carry/relative value trades as a Fed hike looms amid questions over US policy credibility limiting USD gains. ZAR remains the best hedge given its high beta to the Iran situation. In Latam, BRL, despite its strong performance, remains cheap vs the major improvement in its terms of trade, and the same is true for NGN EMEA FX. Among CEE FX, HUF has hugely outperformed its terms of trade thanks to the elections but has more room.

Source: BofA Global Research

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Our key forecasts

Exhibit 2: Key BofA G10 and EM FX forecasts
Forecasts as of 3-Sep-2026

(EOP)	YE 2023	YE 2024	YE 2025	1Q 26	2Q 26	YE 2026	YE 2027	YE 2028
EUR/USD	1.10	1.04	1.17	1.16	1.14	1.15	1.20	1.22
USD/JPY	141	157	157	158.72	163	149	145	145
GBP/USD	1.27	1.25	1.35	1.32	1.33	1.37	1.45	1.47
AUD/USD	7.00	0.63	0.67	0.69	0.69	0.71	0.73	0.73
USD/CNY	7.10	7.30	6.99	6.79	6.79	6.60	6.50	6.50
USD/BRL	4.92	6.21	5.50	5.16	5.16	5.00	5.00	5.00
USD/INR	83	86	90	94.67	95	98	99	99
USD/ZAR	18.36	18.84	16.54	78.51	16.39	16.40	15.60	15.30

Source: BofA Global Research. Forecasts as of 3 Sep 2026

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What we particularly like right now

Exhibit 3: Our latest G10 and EM FX trade recommendations
What we particularly like right now

G10	
Sell USD/JPY	Improving yen fundamentals and faster BoJ rate hikes should weaken the case for yen selling
Sell CHF/JPY	Asymmetric risk/reward around BoJ's June meeting. SNB's vigilance on CHF appreciation. Improving structural flow dynamics for JP
Sell NZD	USD risks have shifted to the downside. NZD benefits from terms of trade in case of weather-related food supply chain disruption
Buy AUD/SGD	AUD to benefit from RBA hikes, we are bullish commodities, and SGD is an attractive funder
Buy 6m GBPUSD strangle (1.3495/1.2818) vs selling 2m ATMF GBPUSD straddle	Vol likely to compress over the summer but then rise again around 12 weeks ahead of US midterms. GBP vol tend to outperform in US midterm periods
EM	
Enter 2M EUR/CNH 7.55 digital	We enter a 2M digi with 11:1 payout as Europe and China trade cycles diverge and drive CNH outperformance
Long PEN vs short USD	We initiate a short USD/PEN at 3.37 based on bullish gold and copper outlook and Peru's real GDP growth
Long INR & MYR vs short THB	Enter long INR carry with long MYR to hedge commodity risk and use THB for cheaper funding

Source: BofA Global Research estimates

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Week ahead

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In focus next week

US CPI (Fri). ECB meeting (Thu). Saxony-Anhalt election (Sun). CPI for Sweden (Mon), Norway (Thu)

Other events by region:

- AMRS – US PPI (Thu), Michigan (Fri), Fed blackout.
- Europe – in the EA, 2Q GDP (3rd print, Thu), German IP (Mon). UK GDP (Fri). Swedish Jul GDP (Thu
- APAC – JP labor cash earnings (Tue), 2Q GDP (final, Tue), BoJ's Masu (Thu)

Source: Bloomberg. Last updated: 3-Sep-2026. The days are indicated according to London time.

G10 central bank calls

Exhibit 4: BofA G10 Central Bank calls
ECB is meeting next week

Country	Current	Next	Our call	BofA YE 26 (bp)	Priced YE 26 (bp)	Narrative
US	3.63%	16-Sep	3.88%	+75	+33	We continue to expect the Fed to hike by 25bp each at its remaining three meetings this year
Eurozone	2.25%	10-Sep	2.50%	+25	+47	In our base case we continue to expect the ECB to hike in September and to cut twice next year. But we now expect ECB rate cuts to start in June 2027, while we also see risks of a third hike this year (in Dec).
Japan	1.00%	18-Sep	1.25%	+50	+44	Our new base case is for the BoJ to accelerate to a roughly quarterly pace, with hikes in September and December 2026 and March and July 2027, taking the policy rate to 2%
UK	3.75%	17-Sep	3.75%	0	+29	We expect the BoE to remain on hold in '26, but near-term risks remain skewed for a hike. The bar for a Sep hike is high, but Nov/ Dec/ Feb are live. We continue to see a 25bps rate cut in Nov. '27.
Canada	2.25%	28-Oct	2.25%	0	+25	We still expect a prolonged hold as trade uncertainty caps growth, but risks now skew to the upside, particularly for 2027
Australia	4.35%	29-Sep	4.60%	+25	+30	We now expect the RBA to hike 25bp in September
New Zealand	2.75%	28-Oct	2.75%	+25	+25	We expect the RBNZ to hold in Oct to allow time to assess inflation spillovers and election policies, before a 25bp hike in Dec. Our OCR forecast remains below consensus and market pricing, and if the RBNZ does hike in Oct & Dec, this would raise the likelihood of rate cuts in 2027
Switzerland	0.00%	24-Sep	0.00%	0	+6	The combination of a largely unchanged medium-term outlook and inflation remaining within the target range points to a high bar for rate changes in the foreseeable future
Sweden	1.75%	24-Sep	2.00%	+25	+30	We expect a hike back to neutral in Sep, but risks tilted for a longer hold – the ECB's rate path will be key
Norway	4.25%	24-Sep	4.25%	0	+25	In our base case Norges remains on hold at 4.25% for the rest of this year and cuts twice next year. But risks of a second hike this year remain despite the recently encouraging inflation prints

Source: BofA Global Research. Forecasts and OIS market pricing as of 3-Sep-2026.

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The view

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G10 FX: not all USD shorts created equal

Fed remains key for USD…

An activist US Treasury is bearish USD but a lot depends upon the Fed's response (USD: Implications of UST Activism 21 August 2026). Warsh's Jackson Hole speech nullified the UST buyback announcement, driving a round-trip in the USD exchange rate, as well as option skew premium (Too much USD risk premium priced out 01 September 2026). While Warsh clarified his reaction function at Jackson Hole, he did not commit to hikes, keeping the September FOMC finely balanced and hinging on next week's inflation print. We expect the Fed to hike, which could limit near term USD downside. But an activist US Treasury raises the credibility stakes for the Fed over the medium-term, in our view.

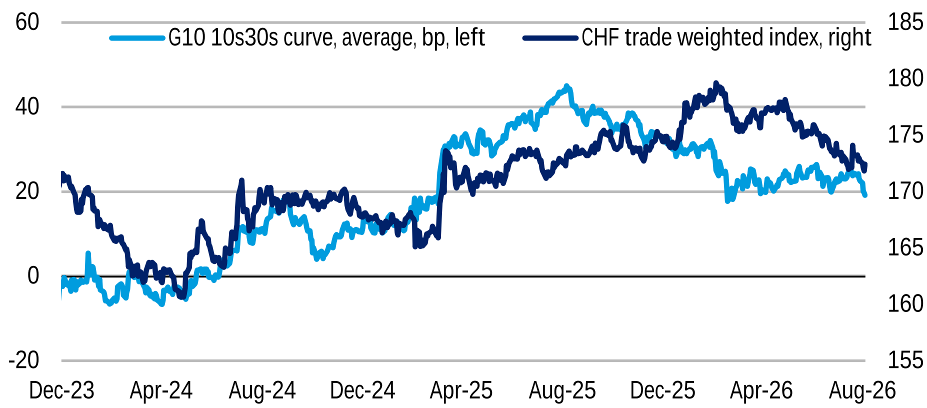
… **but** activist UST means risks skew weaker

Consequently, we believe the distribution of risks now skews negative for USD. However, not all USD shorts are created equal - we learned the hard way, with a dovish RBNZ proving a wet blanket for our recommended NZD/USD long. The lesson is to focus on USD shorts that offer carry and/or where central banks are expected to deliver more hikes than priced. CAD & EUR for instance are not preferred longs, with front end pricing exceeding our base case. Instead, AUD screens best as the highest yielder and where we now expect the RBA to hike in September (not fully priced). We recommended long AUDSGD as a more carry efficient expression of long AUDUSD (Buy AUD/SGD 02 September 2026).

Short USD/JPY – will 155 break this time?

The exception is JPY, where we stay constructive for idiosyncratic reasons, and now willing to pay carry to be long. We recommended short USD/JPY in addition to our long held short CHF/JPY conviction (Go short USD/JPY 02 September 2026). Reports around public pension fund reallocation and BoJ rate hikes seemed to precipitate a sharp yen rally this week. While the move was large relative to the signal-to-noise ratio of these reports and no obvious signs of intervention, it is consistent with our view that eventually all policy levers will be employed to support the yen. From here, 155 is a key level below which we think domestic yen buying could accelerate.

Exhibit 5: Swiss franc vs. G10 10s30s curve
CHF has correlated with long end slope (10s30s) across G10 government bond markets



Source: Bloomberg

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Long end sell-off a side show for FX, for now

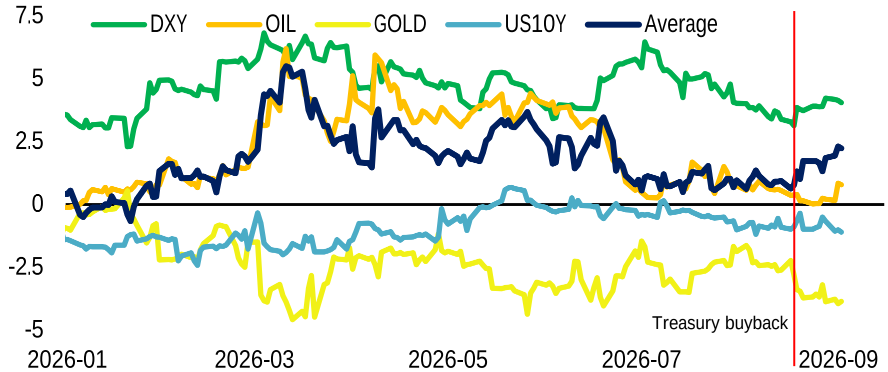
Long end bond yields have reached fresh highs across major economies, yet the footprint in G10 FX is relatively limited. The fact that the Swiss franc – a quintessential fiscal risk premium trade – remains weak, tells us that fiscal risk may not be the dominant driver. Indeed, 10s30s curves have flattened across G10, on average (Exhibit 5), suggesting other factors, including the rise in oil prices, are playing a role. The heavy calendar of budgets and elections into year-end suggests this could change quickly, but for now a side show for FX.

EM FX: Buybacks broaden betas

The factors buoying EMFX remain in place: the carry on offer is near post-2024 highs, growth and inflation expectations are improving, positioning is not as stretched as it was pre-war, and trend remains supportive. However, betas to global factors have jumped sharply since the Treasury's buyback announcement (see Exhibit 6).

Exhibit 6: **EMFX's betas to global factors have jumped since the Treasury buyback** announcement

Time-varying median EMFX daily return beta to DXY, oil, gold and US 10Y returns (LHS), and average absolute global beta in 2026 (RHS). Red line = buyback announcement date



Source: BofA Global Research, Bloomberg

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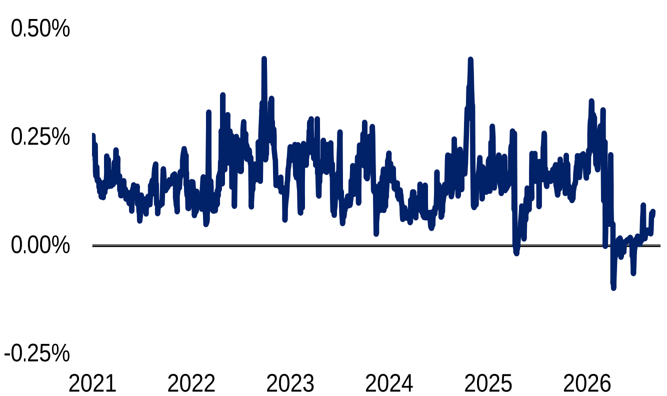
This, along with still-stretched valuations (see Exhibit 8), limited vol risk premia (see Exhibit 7), and rising dispersion (see Exhibit 9) suggest the rally is increasingly contingent on the dollar debasement theme. In this context, the September FOMC meeting looms large, and is likely to frame the rest of the year for EMFX.

Exhibit 7: EMFX variance risk premia rising, but still near 5-yr tights

The median EM currency's variance risk premium since 2021, estimated using 3m ATM vol



Source: BofA Global Research, Bloomberg

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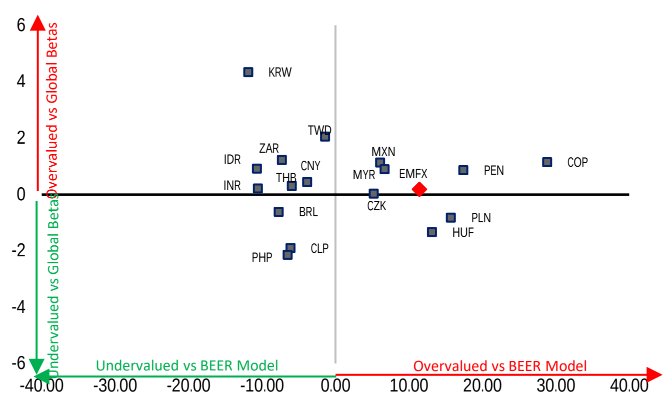
Exhibit 8: EMFX overvalued vs fundamentals and vs s/t beta levels

Deviations from BEER model (x axis) vs deviations from globally-implied, time-varying fair values (y axis)



Source: BofA Global Research, Bloomberg

Methodology: [EMFX: Oil Betas Have Yet To Kick In]

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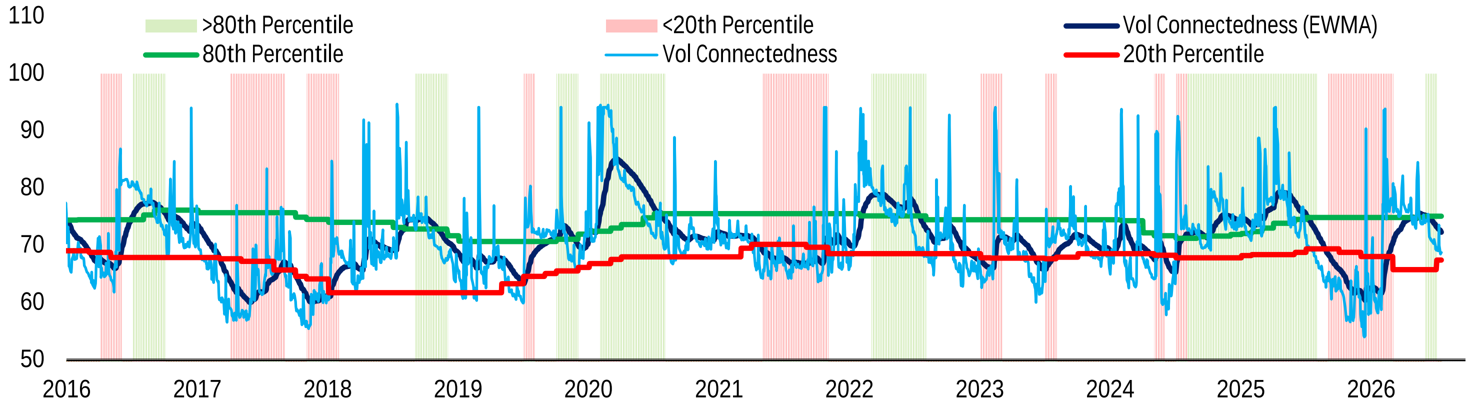
Exhibit 9: EMFX vol connectedness is still above levels associated with near-term jumps in vol, but is falling sharply (current level = 41st percentile)
EMFX vol connectedness since 2015. Rising connectedness = EMFX vols are increasingly comoving. Red (Green): Outright Buy (Sell) EMFX Vol signal



Source: BofA Global Research, Bloomberg
Methodology: GEMs Viewpoint: Disconnected: The EMFX Vol Spike Has Further to Go

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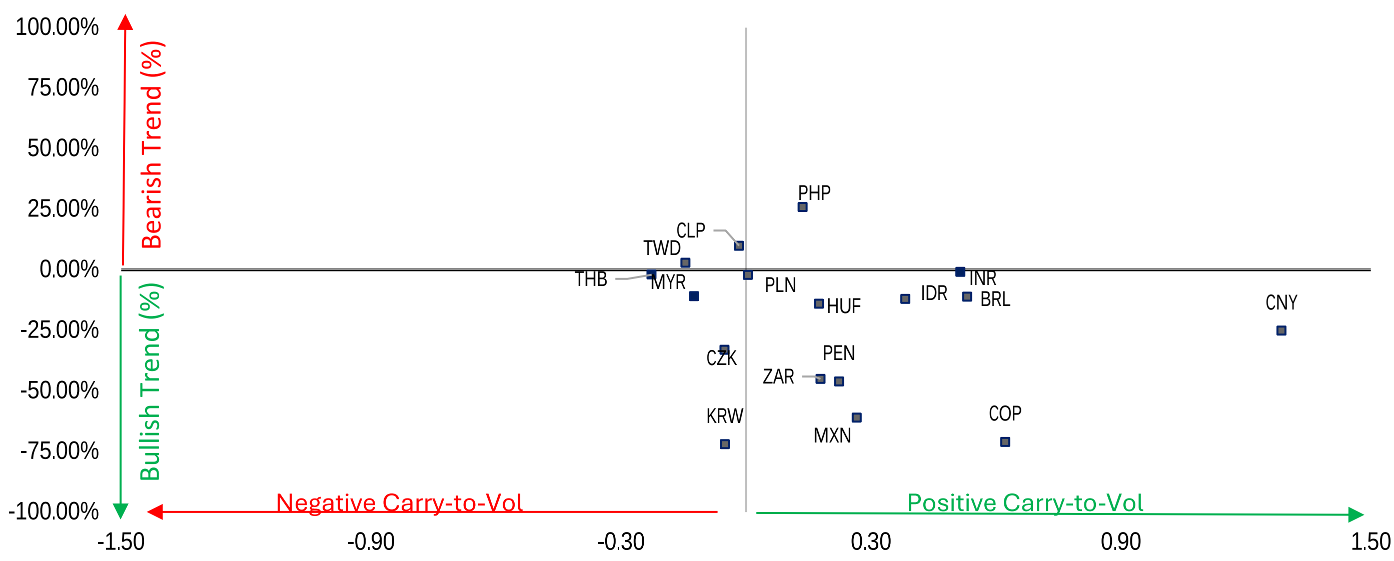
Where, then, does value lie? Our fundamental analysis (see: Asia FI & FX Strategy Watch: Short THB, long MYR & INR basket 31 August 2026) and quantitative analysis (see: The EM Quant Strategist: The Fed's the limit 03 September 2026 and see Exhibit 10) suggests there are attractive opportunities in intra-Asia RVs. Specifically, our strongest screens are:

Long INR: Undervalued, substantial carry to vol, bullish trend
Long CNY: Undervalued on BEER, best carry-to-vol, bullish trend
Long PHP: Biggest laggard, Undervalued across models, positive carry-to-vol
Short THB: Flat trend, minimal undervaluation, negative carry

Exhibit 10: PHP is the only EM currency with positive carry-to-vol with a still bearish trend
1m NDF-implied carry-to-vol (x axis) vs trend strength (y axis), by EM currency



Source: BofA Global Research, Bloomberg
Methodology: GEMs Viewpoint: Bears Stirring: Introducing the EMFX CTA Model

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G10 Themes
Go short USD/JPY

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Link to full report: FX Alpha: Go short USD/JPY 02 September 2026
We recommend selling USD/JPY at 159.70, targeting 149.0 (our year-end forecast) with a stop loss at 164.0. We also remain short CHF/JPY (see FX Alpha: Sell CHF/JPY).

JPY's economic fundamentals are strong

The yen's fundamentals remain supportive. The latest phase of yen weakness began in spring 2025. Since then, Japan has recorded the largest basic balance surplus among major currencies, while hawkish repricing of monetary policy expectations has been the second most pronounced after AUD (Exhibit 1; see FX Viewpoint 19 May 2026). Yet the yen continued to weaken. We believe this reflected: 1) yen-selling hedging activity by overseas investors amid Japanese equity outperformance (Exhibit 2; see FX Viewpoint 15 June 2026), and 2) concerns over Japan's macroeconomic policy. However, market attention has focused on the latter, while awareness of the former remains limited. As a result, the policy risk narrative appears stretched relative to reality.

BoJ is moving away from being behind the curve

The likelihood is rising that the Bank of Japan (BoJ), which markets have viewed as a key driver of yen weakness, will shift in a more hawkish direction. Following coordinated US-Japan FX intervention, momentum has been building for a broader policy response by the Japanese government aimed at reversing the weak-yen trend, most importantly a faster pace of BoJ rate hikes (see Japan Viewpoint 24 August 2026). Potential rotation from foreign bonds into JGBs among Japanese investors, including pension funds, could support JPY (Liquid Insight 15 July 2026). Markets currently price the BoJ policy rate at 2% by July 2027 (Exhibit 3), consistent with our forecast of quarterly rate hikes (see Japan Viewpoint, August 14). In our investor survey, nearly 70% of respondents believe the yen would stabilize if the BoJ policy rate were to reach to 2% (Exhibit 4), which is in sight. If the BoJ raises rates at its September meeting and maintains a hawkish communication stance, the rationale for selling the yen would weaken. In our view, the Ministry of Finance (MoF) has refrained from conducting aggressive intervention because it is first seeking to establish a path toward faster BoJ tightening. If accelerated BoJ rate hikes become clear and yen selling persists, the MoF would likely attempt to reverse the trend through yen-buying intervention.

USD/JPY risk-reward under different USD scenarios

For USD, the risk-reward profile favors downside in USD/JPY. A loss of confidence in USD or a slowdown in the US economy would weigh on the pair. Conversely, a Fed rate-hike scenario would likely support USD. However, even in that case, USD/JPY may not rise significantly because: 1) authorities are unlikely to tolerate a move beyond 160 and could respond by FX intervention or faster BoJ hikes to support JPY; 2) following the more tepid US Treasury intervention, incentives would suggest that any further coordinated operation would likely need to be scaled up on the US side in order to maintain credibility; 3) higher interest rates could trigger a further correction in the AI-driven equity rally, leading to Japanese equity underperformance and associated yen buying through FX hedging. In this scenario, both USD and JPY could strengthen.

Japan Rates and FX Watch

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Link to full report: Japan Rates and FX Watch: Repatriation amid monetary tightening and fiscal expansion? 03 September 2026

Repatriation, monetary tightening, fiscal expansion

Japanese asset markets have increasingly focused on the possibility of portfolio rebalancing by domestic pension funds this week, although we do not take a view on whether such a shift will occur. In FX, the yen has appreciated, while the JGB curve has bull-flattened. In a report published in July, we analyzed a hypothetical scenario in which public pension funds rebalance from foreign assets into domestic bonds (see Liquid Insight, 15 July). The implications of that analysis remain valid today. Please refer to that report for a broader discussion of the market implications.

Compared with July, the impact on FX markets could be amplified by the combined effects of coordinated US-Japan FX intervention and a potentially more hawkish Bank of Japan (BoJ) (see: BoJ Watch 14 August 2026). At the same time, momentum toward fiscal expansion has not diminished (see Japan Viewpoint, 24 August). While fiscal expansion and potential pension reallocations into JGBs may exert opposing influences on the JGB curve, flattening pressures driven by monetary tightening are likely to remain the dominant force.

BoJ hikes + repatriation = higher JPY (watch EUR/JPY)

Based on GPIF's annual disclosure, its foreign bond exposure does not appear to deviate materially from the benchmark (Exhibit 2). We therefore assume that public pension portfolios currently remain broadly aligned with their benchmarks.

Under a rebalancing scenario from foreign bonds into domestic bonds, EUR would likely see the largest impact relative to market liquidity among major currencies, followed by GBP and USD (Exhibit 3). Should public pension funds shift allocations from foreign bonds into domestic bonds, appreciation pressure on the yen against the euro would likely intensify. Following the BoJ's rate hikes, EUR/JPY carry has fallen below 1.5% and could narrow further. With carry compressed, valuation may become a more important driver of EUR/JPY. The stretched valuation of EUR/JPY relative to purchasing power parity may begin to correct, although fiscal risks surrounding Japan remain.

We remain bullish on the yen. In addition to our existing short CHF/JPY trade, we added a short USD/JPY recommendation yesterday.

Flattening pressures from monetary tightening dominate

We believe that a higher allocation to domestic bonds by public pension funds would be particularly supportive for the 10-20Y sector on the JGB curve (see Liquid Insight, 15 July). At the macro level, the combination of monetary tightening and fiscal expansion is generating upward pressure on yields. While fiscal expansion could offset curve-flattening pressures stemming from monetary tightening, a scenario in which public pension funds increase allocations to domestic bonds would likely keep flattening pressures dominant. We continue to favor short 6m1y payer 1x2 positions and long 30Y JGB ASWs (asset swaps) (see Japan Viewpoint, 24 August).

Buy AUD/SGD

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Link to full report: FX Alpha: Buy AUD/SGD 02 September 2026

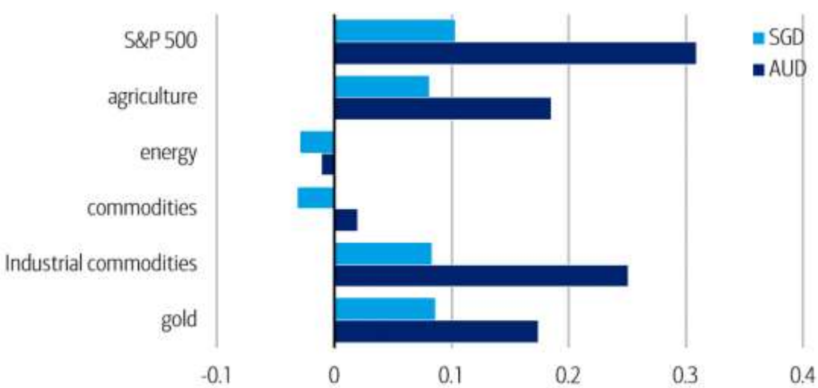
Buy AUD/SGD

We recommend buying AUD/SGD (entry 0.9085, target 0.93, stop 0.8950). Rationale: we are bullish AUD/USD into year-end and expect the RBA to hike rates in September, with a consecutive hike in Nov '26 (current pricing: 30bps) now a distinct possibility. Short SGD is an attractive funder because investors earn roughly 2.5% annualized carry while the currency's position near the top of the MAS policy band limits downside risk. Risk: risk-off/ disinflation trade (lower gold, lower risk assets). Time horizon: 3 months.

Long AUD/SGD = bullish commodities

Over the past two years, AUD/USD has also displayed significantly greater sensitivity than SGD/USD to gold, industrial commodities, agriculture and the S&P 500. The gap is particularly pronounced for industrial and agricultural commodities where we are especially bullish given the mounting risks to global food supply chains in Q4 '26 (see Liquid Insight) and AI-driven demand for metals, which our strategists expect to persist into 2027. Bottom line: long AUD/SGD is a carry-rich expression of our bullish view on commodities into Q4 '26.

Exhibit 11: 2y beta of AUD/USD and SGD/USD to commodities and risk assets
Long AUD/SGD = long risk and commodities



Source: BofA Global Research, Bloomberg

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Why is SGD an attractive funding currency?

Short SGD presents itself as an attractive funding currency for two key reasons: First, it provides positive carry for 3-month shorts at an annualized 2.5%. This is by virtue of consistent portfolio and direct investment inflows keeping liquidity flush, while the MAS also targets annualized SGD NEER appreciation of 1.25% with the likelihood of a steeper 1.5% slope in October. This nominal appreciation represents a headwind for short SGD positions, but uncovered interest rate parity conditions and flush funding mean this is already discounted to provide an attractive offset.

ECB preview: the last hike?

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We expect the ECB to hike all three policy rates by 25bp next week. With still plenty of uncertainty and mixed signals since the July meeting, the natural slope is for the ECB to deliver what's priced and included in the forecasts, at least this month.

Growth has been a bit more resilient than expected but inflation weaker. Hence, the mixed news provides no clear reason to deviate from the July plan and, once again, the largest innovation is the evolution of energy prices. New forecasts, if based on the regular cut-off date (mid August), should show few changes, with perhaps marginally more growth in the near term and slightly lower inflation. Given market pricing of the ECB at the cut-off date (close to pricing into June), this would leave the door open to, but not endorse, another hike down the line. A hiking bias could be reinforced by an alternative scenario taking on board energy price developments post cut-off date, which would show marginally higher inflation at the end-point of those forecasts.

In other words, in line with recent meetings, the forecasts will send an implicit message that a modest hiking cycle of 2-3 total hikes is still a reasonable base case. Additional alternative scenarios should give us more clarity, but we remain agnostic about the scenarios we will get.

Those hikes and forecast changes will likely come with no major changes to the written or verbal guidance. We expect communication to keep a hiking bias, even if implicit, given the more persistent shock. Beyond that, though, we would expect an emphasis on uncertainty, data-dependence, no pre-committing, and the need to decide meeting by meeting.

At the end of the day, while the energy price shock is more persistent and growth a bit more resilient, there are no signs of second-round effects. Core inflation has surprised ECB forecasts to the downside, even more so in the case of inflation ex-energy. It's hard to sound very hawkish when the shock is looking increasingly like a traditional energy price shock and a lot less like what we saw in 2022.

We would expect Lagarde to acknowledge that headwinds are now increasingly larger for the economy, including the tightening in financial conditions. If asked about the evolution of long-end rates we would expect her to make the usual two comments: 1) if there is an exogenous tightening of financial conditions that goes into the forecasts, i.e. it's taken into account when deciding policy, 2) any disorderly move can be tackled with existing tools or even new ones.

Where do we go next?

Beyond the hike next week, the risks of another in December have increased, and a bit more persistence on the energy profile could make this the base case. The meeting next week is likely to confirm this hiking bias. But given that, as of today, we forecast inflation by then not far from current ECB forecasts (but weaker core), and that we expect no surprises from indirect or second-round effects, we don't think a final hike in December should be the base case, at least not yet.

More importantly, and related to that absence of strong second-round or indirect effects, we still think that the bar for more than 75bp of total hikes from the ECB is quite high. It would require the kind of developments that lead to very persistent moves in energy prices, similar to the severe scenarios the ECB outlined in the March and June forecasts.

Crucially, we still expect cuts in 2027, but rather than starting in March, we moved them recently to June after taking on board energy price moves that delay the drop in inflation. Our bigger conviction remains that cuts will follow in 2027, bringing the ECB deposit rate to, or below, 2% by end-27 again. The timing of those cuts will crucially depend on whether a third hike is delivered or not. A hike in December of this year could delay those cuts further.

ECB forecast update: tinkering at the margins, but keeping the signal

We expect ECB forecasts to change only at the margin in the September update. A broadly unchanged inflation outlook, in particular, would send the same signal as in June: a September hike is justified and a hawkish bias should be maintained.

Of course, that will depend also on the exact cut-off date for technical assumptions. We assume a regular forecast cycle with cut-off date on or close to 14 August. At that time, oil prices were c USD 10 below the June exercise in 2026, but gas and electricity prices were higher. "Synthetic" energy prices, ie the weighted average of gas and oil prices (in EUR), were actually c 4% below the June base case throughout the forecast scenario. ECB pricing had come full circle since the Iran peace deal and mid-August, too, with 1-2 additional hikes priced by end-2027.

In this context, we would assume only limited changes to the inflation outlook, with core possibly slightly lower in 2027/26 on the back of small cuts to headline inflation via oil (changes in gas prices have had less influence on inflation forecast changes since March). With GDP growth also broadly unchanged, the ECB would give a nod to market pricing mid-August that another hike after September is a possibility, but not a given.

Exhibit 12: Assuming a 14 Aug cut-off for technical assumptions, synthetic energy prices would be c 4% below the June base case
ECB projections, technical assumptions

	Jun-26				Sep-26 (exp)		
	2025	2026	2027	2028	2026	2027	2028
Oil price (USD)	69.1	96.9	82.2	77.1	86.8	75.2	72.1
Gas prices (EUR)	36.2	45.6	37.5	27.9	49.9	40.0	29.0
Electricity (EUR)	83.6	89.3	78.2	68.1	105.8	90.0	75.0
ETS1 (EUR)	73.9	79.4	76.4	79.2	78.7	82.2	85.7
USD/EUR	1.13	1.17	1.17	1.17	1.16	1.15	1.15
NEER	128.3	130	129.8	129.8	129.60	129.30	129.30
Synthetic energy price	51.7	68.7	57.8	51.5	65.4	55.6	49.8

Source: BofA Global Research, ECB staff projections

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Exhibit 13: Lower synthetic energy prices than in June could actually mean small downward revisions to inflation forecasts
ECB staff projections for growth and inflation

	Jun-26				Sep-26 (exp)		
	2025	2026	2027	2028	2026	2027	2028
Real GDP	1.5	0.8	1.2	1.5	0.7-0.8	1.2-1.3	1.5
HICP	2.1	3.0	2.3	2.0	2.8-2.9	2.2-2.3	2.0
ex food & energy	2.4	2.5	2.5	2.2	2.5	2.4-2.5	2.1-2.2

Source: BofA Global Research, ECB staff projections

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EUR: hawkish tone helps, but markets are already there

We do not expect the ECB meeting to prove particularly eventful for the EUR. We expect the ECB to maintain a hawkish stance, but the markets are already pricing around two additional hikes by year-end, with further tightening expected next year. As a result, we see risks as modestly skewed to the downside. That said, any indication from the ECB that markets are understanding its reaction function could support the EUR.

More broadly, we think the ECB's commitment to preserving its inflation-fighting credentials stands out among G4 central banks, and this has likely helped the EUR in recent weeks. Continued upside data surprises also suggest that the EA has proven more resilient than feared. We retain a constructive medium-term EUR bias, but high energy prices and uncertainty around the reaction functions of other major central banks, including the Fed, keep us in a wait-and-see mode for now.

Fiscal dominance = fiat competition

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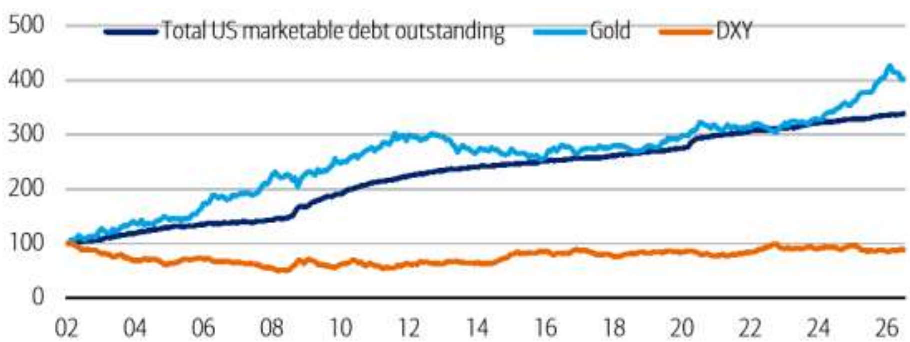
Link to full report: [Liquid Insight: Fiscal dominance = fiat competition 27 August 2026]

Exhibit 14: DXY has not tracked gold and US marketable debt higher this century

DXY, US total marketable debt outstanding and gold indexed to Jan 2000*



Source: BofA Global Research, Bloomberg *monthly time series

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Fiscal dominance, not dollar debasement

Gold and sovereign bond markets are increasingly pricing a shift towards fiscal dominance but we remain selectively bearish USD given the prevalence of fiscal risks outside the US. To be sure, the UST's decision to "at least" double the maximum size of long-end buybacks has raised sufficient downside risks that we recommended adding USD shorts last week. The initial market response to buybacks was consistent with debasement risk: gold and CHF were the best performers, USD option skew premium rose across currencies, while US equities weakened despite lower 10y. The pressure on Kevin Warsh to close the credibility gap at Jackson Hole raises near-term risks for USD. Our commodity strategists see a dovish tilt as bullish gold (see Global Metals Weekly).

Yet while the distribution of risks has shifted sufficiently for us to buy high-beta NZD/USD, uncertainty is high and we highlight near-term risks in Japan (budget process running through Nov/ Dec), France (potentil credit downgrade in Oct) and UK (autumn budget due Oct) that could keep DXY supported even if the global debasement trade (short 30y, long gold) continues to perform. Bottom line: we remain long NZD/USD and short USD/PEN (gold proxy) with upside for EM FX carry (BRL). Details below.

EM Themes
Buy back EM

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The following piece is an abridged version of Emerging Convictions: Buy back EM 31 August 2026

Bessent's put

Post-summer we remain constructive on EM FX carry which benefits from high rates and a range-bound DXY, but we are cautious on rates and EXD due to persistent inflation and possible equity risk-off. Bessent's treasury buy-backs are EM positive, whether they are successful or not. They reveal a pain threshold for long-term yields which is likely to trigger either further policies that expand the consolidated government balance sheet, or eventually some tightening/reduction in issuance; either outcome would be EM positive.

Warsh's call

A more hawkish Fed is a headwind for EM rates and spreads but should be acceptable for EM FX carry. After the Jackson Hole speech, markets price two Fed hikes by Q1. We forecast three, but don't think one more hike would be a game-changer for EM FX. High global inflation is likely to persist in Q4, leading to more hikes in many countries. This caps the USD and lets EM carry work, but it makes us cautious on EM rates and credit spreads which are too tight against a backdrop of tightening financial conditions.

Midterms elect EM

The midterms affect EM through the USD, crude oil and S&P. If the Fed does not hike in Sep, we think it will only in Dec due to the midterms. We worry about the risk of an Iran-related oil spike in the run-up to the midterms. A change in the Senate could constrain the administration's policies and is a risk to equities, according to our US strategists. Such an outcome would be positive for EM FX but would decompress EXD spreads. Brazil's elections are the main political event in EM; markets don't expect major changes.

We like FX carry but not rates

We like FX carry in high-yielders with hawkish central banks: BRL, COP, EGP, KZT, NGN, PEN and TRY. We prefer EUR funding as we see year-end EUR/USD at 1.15. In Asia we like CNH on rising exporter conversion and appreciation to reduce protectionist pressure. We also like long INR and MYR vs THB. In rates we are cautious given ongoing global inflation pressure. We like payers in Chile and receivers in India and Mexico. We are looking for an opportunity to receive Brazil rates during election or Fed related volatility.

EXD: add hedges

We are cautious on spreads, prefer to add hedges and await for better opportunities to deploy cash. Our models send sell signals for risk assets overall and for EXD vs US HY in particular. Fed hikes and the midterms could lead to volatility in risk assets. Hyperscaler spread widening could start spilling over to EXD. Higher long-end US treasury yields have supported tighter spreads, so a possible reversal is likely to decompress spreads.

Short THB vs. Long MYR & INR basket

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The following piece is an abridged version of Asia FI & FX Strategy Watch: Short THB, long MYR & INR basket 31 August 2026

Short THB has merit, but USD weakness an issue

Thailand's low policy interest rate and gapping gap with US policy rates, makes for an attractive funding currency for carry trades. Additionally, its current account surplus position appears to be in structural decline as tourism is yet to recover to its pre-Covid glory – see report: Asia FX Strategy Viewpoint: Weaker CA backdrop for THB.

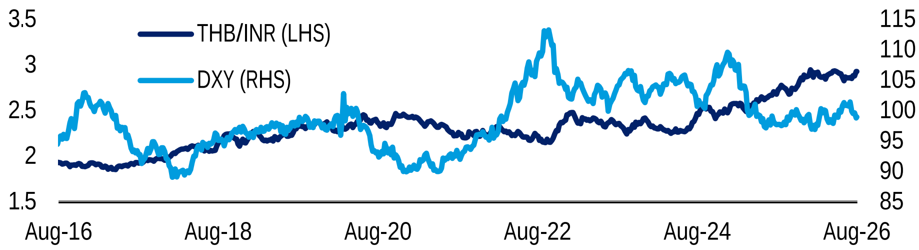
These two structural factors – wide interest policy gap differential and diminishing current account surplus - are resulting in higher THB vol base and beta. The problematic issue is during episodes of USD weakness, this structurally higher beta lends itself to THB outperformance relative to peers, especially carry currencies INR and IDR. It can be argued that INR and IDR do not lack USD beta either. However, a weaker USD is associated with higher commodity prices and inflation pressures that leave INR and IDR vulnerable. Consequently, we add long MYR together with INR, to protect against USD weakness and rising commodity environment.

Augmented carry: short THB vs. long INR & MYR

We enter an equal weighted basket of long INR and MYR (via short-tenor cash bonds) vs THB (entry basket 100 (indexed), spot reference THBINR 2.88, MYRTHB 8.226, target 103, stop 98, carry 26bps/m (40bps/m on short THBINR and 12bps/m on long MYRTHB)) on a) favorable carry-to-volatility dynamics in INR (high carry/low volatility) vs THB (low carry/high volatility), b) divergence in CB reaction function (BoT exhibiting more dovish policy bias with more tolerance to inflation spike and less resistance to FX weakness) based on c) NEER valuation divergence (INR appears undervalued vs THB NEER has been elevated) while d) hedging out sensitivity to oil price fluctuations. We believe RBI is willing to spend incremental reserves to prevent INR weakness beyond 96/USD level.

Risk to the trade: a) USD weakness leading to unwinding of b) moderately crowded THB positions or from c) RBI rather opting to preserve reserves and tolerate INR weakness.

Exhibit 15: DXY USD weakness correlates with higher THB/INR, hurting INR carry trade
THB is an attractive funding trade for long INR, but needs MYR to mitigate USD weakness



Source: Bloomberg, BofA Global Research

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Asia FX– CNY leads as summer carries on

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The following piece is an abridged version of [The EM Asia FX Strategist: Asia FX Monthly – CNY leads as summer carries on 18 August 2026]

Summary of FX views

CNY/CNH (bullish): We revise our year-end USD/CNY forecast to 6.6 from 6.70 previously on continued export proceed repatriation and undervaluation.

HKD (neutral): A widening yield differential between the US and HK could encourage more carry trades and push USD/HKD towards 7.85 in 2H.

INR (neutral): Flows are turning favorable as improving portfolio and deposit inflows replenish the RBI's reserves and provide ammunition to cap topside risks.

IDR (bearish): IDR stabilized on weaker USD and defensive BI around 18,000/USD level. Risk of dovish policy tilt rising. Bearish pressure may intensify if USD strengthens.

KRW (neutral): KRW has staged a strong comeback as rebalancing flows ebb and volatility subsides. We revise our year-end forecast to 1410 on more balanced flows.

MYR (neutral): MYR likely range bound as strong domestic fundamentals and BNM oversight could be offset by political uncertainty. USD beta remains the key driver for now.

PHP (bearish): Oil price fluctuations are key risks for PHP, along with US rates repricing. BSP smoothing and rate hikes are marginally supportive.

SGD (neutral): SNEER to stay range bound. Policy tightening reduced negative carry on SNEER slightly but shorts still appealing compared with low volatility.

TWD (neutral): Flows could turn more balanced after dividend season, but Fed hikes later on may exert downward pressure on low yielders such as TWD.

THB (bearish): THB's worst CA seasonality over but deficit is wide enough to keep THB under pressure this quarter as well. USD, oil and gold key drivers in the near-term.

VND (neutral): Inflation and trade-deficit deterioration should keep VND soft near term. Modest VND appreciation is likely by end-2026 on an Iran resolution and export boom.

Exhibit 16: Asia FX forecasts for the next four quarters
Bullish CNY; Bearish IDR, PHP, and THB; Neutral the rest

Currency	View/bias	Spot	3Q '26	4Q '26	1Q '27	2Q '27
USD/CNY	Bullish	6.74	6.7	6.6	6.6	6.5
USD/HKD	Neutral	7.84	7.85	7.85	7.83	7.82
USD/INR	Neutral	95.6	97	98	98.5	99
USD/IDR	Bearish	17798	17900	18000	18100	18200
USD/KRW	Neutral	1410	1420	1410	1400	1400
USD/MYR	Neutral	4.05	4.15	4.1	4.05	4.05
USD/PHP	Bearish	61.48	63	63	64	65
USD/SGD	Neutral	1.28	1.3	1.295	1.29	1.285
USD/TWD	Neutral	31.84	31.80	31.70	31.60	31.50
USD/THB	Bearish	32.96	33.7	33	32.5	32.5
USD/VND	Neutral	26205	26200	26000	26000	26000
USD/PKR		277.74	283.0	285.0	288.0	291.0
USD/LKR		332.05	325.0	325.0	327.0	330.0

Source: BofA Global Research estimates

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EEMEA: Short-term weakness before rally

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The following piece is an abridged version of The EEMEA FX Strategist: Short-term weakness before a rally 18 August 2026

EEMEA FX: a move down before an appreciation trend

We expect a lower EURUSD until the end of Q3 driven by stronger US data and a more hawkish Fed. Higher oil prices in the short term should also support the dollar. After Q3, the dollar is likely to weaken as oil prices fall and Fed hikes are fully priced in. Low rates vol, coupled with still strong global growth, should support EM FX appreciation after Q3.

PLN (bullish): a stronger EM environment should result in the zloty outperforming forwards in Q4. In Q3, PLN weakness is likely to persist on fears of BGK interventions.

ZAR (neutral): we expect global factors to drive USDZAR to the level implied by forwards in Q4.

TRY (bullish): our forecast remains below forwards, given the authorities' commitment to real currency appreciation.

ILS (bearish): we are bearish US equities, which should lead to the shekel underperforming forwards.

CZK (neutral): we expect the ERUCZK to be in line with forwards in Q4 as initial dollar weakness is likely to be followed by strength.

HUF (bullish): the HUF should outperform forwards driven by stronger domestic fundamentals and a weaker dollar after Q3.

Frontier FX: NGN and EGP should outperform NDF-implied levels. The RON will likely remain stable vs the EUR in the short term due to high inflation.

Exhibit 17: EEMEA FX forecasts for the next four quarters
Bullish most EEMEA FX

			Forecasts			
Currency	View/bias	Spot	3Q 2026	4Q 2026	1Q 2027	2Q 2027
EUR/PLN	bullish	4.31	4.33	4.28	4.25	4.22
USD/ZAR	neutral	16.2	16.4	16.4	16.3	16.0
USD/TRY	bullish	47.9	49.3	51.7	53.8	55.9
USD/ILS	bearish	2.95	3.10	3.05	3.00	2.95
EUR/CZK	neutral	24.2	24.6	24.3	24.0	23.7
EUR/HUF	bullish	361	360	353	350	347

See inside for longer-term forecasts. *We form a view/bias based on our forecast for the spot exchange rate versus forward rate at the end of next quarter considering alternative scenarios as well. Neutral = our view approximately agrees with the forwards.
Source: BofA Global Research

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LatAm: El Niño comes with inflation under his arm

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The following piece is an abridged version of LatAm Macro Viewpoint: El Niño comes with inflation under his arm 14 August 2026

A severe El Niño, on top of high fertilizer prices

Temperatures crossed the El Niño threshold in April and hit 1°C in May, and the National Oceanic and Atmospheric Administration (NOAA) now puts the highest probability on a very strong event in October–December 2026, when it should peak, layering onto already-elevated fertilizer prices. The first-order concern is inflation, not growth: our VAR analysis finds no material aggregate GDP impact, but flags Colombia, Peru and Brazil as most exposed, with Colombia's inflation sensitivity roughly double Peru's and triple Brazil's.

The key shift: we now expect hikes in Colombia and Peru

In Colombia, with inflation near 6% and expectations unanchored, we raise our end-2026 rate call to 13% from 12% (two 50bp hikes in October and December) and lift 2026 inflation to 7.1%. In Peru, with inflation above 4%, we look for two preemptive 25bp hikes, to 4.50% in December and 4.75% in January 2027, and revise 2026 inflation to 4.5%. The region diverges: Mexico works through drought with a temporary non-core impulse, so Banxico stays on hold at 6.50%; Brazil sees inflation as the main channel; and Argentina is among the least affected, benefiting from better rains.

Strategy: inflation divide drives the trades

In local markets, we stay neutral on Colombia—the inflation shock should be partially offset by sharp COP appreciation and fiscal consolidation, with ~50bp of hikes already priced. In Peru, higher El Niño inflation reinforces our long PEN view, leading BCRP to hike 50bp and curbing FX intervention. Elsewhere El Niño is secondary: pay 10y CLP in Chile, receive 2y TIIE in Mexico, election-driven Brazil, and inflation-linked bonds in Argentina. In external debt, El Niño is unlikely to be a major driver of spreads except in Ecuador. We would fade concerns over drought in Panama.

Sectors: agricultural yields and Andean power

El Niño plus tighter fertilizer supply (Brazil NPK deliveries down ~15% in 2026) skews grain prices up while raising yield risk into 2026/27. In Power & Utilities the read is region-specific: stronger demand is the cleanest call in Brazil's but power prices dynamics are ambiguous, Colombia is the most negatively skewed as drought squeezes ~80% hydro-reliant generation, and Chile benefits as wetter conditions lift hydro.

Quant & Vol Insights

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Link to full report: FX Vol Insight: Storm clouds behind a calm FX vol surface 02 September 2026

Vol is low, but not obviously cheap

Despite substantial shifts in the USD narrative over the past month, G10 FX vol remains broadly suppressed. Recent UST announcements and Jackson Hole generated sizeable spot moves but ultimately reinforced the USD's broad range over the past year. This partly explains the market's apathy: implied vol remains rich to recent realized outside the Scandies, although absolute levels are historically low and our PCA framework identifies 3m as the main pocket of relative value.

USD downside protection cheapened as event risk builds

Jackson Hole erased much of the USD downside premium priced after the UST buyback announcement, with G10 skew largely returning towards mid-August levels. Markets are again pricing a continuation of the low-volatility environment and limited concern around US policy credibility. Yet EURUSD flies have richened, providing a partial signal of growing concern about a break from recent ranges.

The macro calendar argues for a selective long-vol bias

We think this benign pricing sits increasingly at odds with the risks into year-end. US data, the Fed's reaction function, renewed Treasury activism and the approaching midterm elections create scope for a wider distribution of USD outcomes. Policy divergence elsewhere adds further catalysts, including BoJ tightening and intervention risk, RBA and RBNZ uncertainty, and European fiscal and political risks already visible in forward-vol pricing. Term structures are somewhat steep but far from stretched, suggesting medium-dated vol should find support before curves flatten as these risks roll into shorter expiries.

Baseline: EUR & CHF screen best for USD downside

Our baseline is that renewed concerns around US policy credibility would rebuild USD downside risk premium. Medium-dated EURUSD calls and USDCHF puts screen as relevant expressions of this scenario, with skew far from stretched and substantial room to reprice towards post-"Liberation Day" extremes. The relative cheapening of low-beta vol also points in this direction: EURUSD calls offer a liquid expression of broader USD weakness, while USDCHF puts provide a more defensive exposure to a risk-off outcome.

Contrarian: USDCAD topside on restored Fed credibility

For investors who see Jackson Hole as a durable restoration of Fed credibility, USDCAD calls screen best as a opposite-tail hedge. CAD retained a negative spot-vol correlation with the USD following the UST announcement, while USDCAD topside remains relatively inexpensive. Its sensitivity to US rate differentials, ongoing trade tensions and expected BoC-Fed divergence leave CAD particularly exposed if stronger US data drives further upward repricing of the Fed path and a sustained USD recovery.

Technical Strategy

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US Dollar Index

- DXY tracking Trump's 1st term, which included a correction in August, then higher highs. For 2nd term repeat to persist, 97.90 needs to hold on closes. For more macro analysis, please see: Technical Advantage: Jumping out of the hole 31 August 2026

Daily: DXY in 1st term Trump presidency rhymes w/2nd, but at risk if below 97.90

The DXY's May base and June breakout argued for a stronger second half of 2026. While our initial target at 101.98 was achieved, August's pullback has challenged conviction and brings critical support levels into focus.

The head and shoulders bottom pattern remains valid while the DXY is closing above the right-shoulder low at 97.90. A decisive break below this level would invalidate the bottom and materially reduce the probability of reaching 103 / 104.70

The analogue of Trump's first presidency remains noteworthy in comparison to his second term. The 2024-2026 path continues to rhyme closely with 2016-2018, including Aug-Sept in 2018 vs 2026. The depth of the current pullback remains comparable to the August 2018 retracement, or -2.66% vs -2.91%. In 2018, critical support at 93.43 held, in 2026 will 97.90 hold?

Exhibit 18: USD Index in 2024-2026 rhyming with 2016-2018. A correction in August 2018 rhymes with August 2026. DXY above 97.90 implies an active head and shoulders base, but below this would increase potential for a continuation sideways or downtrend, and break away from the historical analog.
DXY daily line charts of 2024-2026 vs 2016-2018

Source: BofA Global Research, Bloomberg (G A 6)

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Trade Recommendations G10

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Exhibit 19: Open trades G10
Current G10 FX trade recommendations. Prices as of 13-Aug-2026

Trade Description	Open Date	Entry Price	Expiry Date	Current Price	Rationale	Risks
Sell USD/JPY	2-Sep-2026	159.7		156.03	Improving yen fundamentals and faster BoJ rate hikes should weaken the case for yen selling	Sustained strength in oil prices
Buy AUD/SGD	2-Sep-2026	0.9085		0.9119	SGD: attractive funder near top of MAS policy band. AUD: upside from RBA hikes + exposure to metals and agriculture	AUD sensitivity to S&P 500
Buy NZD/USD	21-Aug-2026	0.5957		0.5865	Accommodative financial conditions in US suggest short USD vs high beta. We are bullish NZD into Q4 given hawkish RBNZ and weather-driven risks to global food supply chains	Equity driven sell-off in high beta FX
Sell CHF/JPY	9-Jun-2026	201.15 (target: 190, stop: 206.5)		192.96	1) Asymmetric risk reward around BoJ's June MPM; 2) SNB's vigilance on CHF appreciation.3) Improving structural demand/supply balance in JPY; 4) carry and valuation.	A continuation of BoJ dovishness
NDX Dec26 110% call contingent on EURUSD < 100.75%	22-Jun-2026	1.544% (refs 30700f/1.145)	18-Dec-2026	-	Under reflationary scenarios, which we see as increasing in likelihood the dynamic of risky assets may stay supported even as the Fed hikes in 2H and the dollar stays supported.	The most adverse scenarios for the position are a materially hawkish shift in the ECB, or dovish shift for the Fed reversing the tone from the June meeting.
Buy 6m GBPUSD strangle (1.3495/1.2818) vs selling 2m ATMF GBPUSD straddle	24-Jun-2026	Zero-cost (spot ref 1.3154, vol refs 7.1/8.0 vs 6.5)	23-Dec-2026	-1.70%	Vol likely to compress over the summer but then rise again around 12 weeks ahead of US midterms. GBP vol tend to outperform in US midterm periods	A sharp rise in volatility ahead of the straddle's expiry

Source: BofA Global Research. See reports for each trade under trade description

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Exhibit 20: G10 FX Closed trades
Recently closed trades in G10 FX.

Trade Description	Entry date	Entry Level	Target	Stop	Close date	Level closed
Sell NOK/SEK	20-Aug-2026	1.0124	0.9812	1.0267	2-Sep-26	1.0267
Buy 3m AUD/NZD 1x1.5 put spread (strikes 1.1960 & 1.1850)	29-July-2026	0.1056% (spot ref. 1.2000)			26-Aug-26	0.21% (spot ref: 1.2065)
Sell CADJPY	21-Jul-2026	115.65	110	115	18-Aug-26	115
Buy 3m EUR/USD put spread (1.15/1.13)	20-May-26	0.3591%	-	-	29-Jul-26	0.5714%
Buy AUD/CHF 3m 0.5800 digi call	16-Jun-26	8% (spot ref. 0.5605)	-	-	24-Jul-26	12.5% (spot ref. 0.57)
Buy SPX > 109% / USD/JPY > 100% dual digitals	8-May-26	10%	-	-	2-Jul-26	11.1%
Sell EUR/GBP via 3m risk reversal (strikes 0.8735/0.8653)	20-May-26	0% (spot ref 0.8650, vol refs 4.8%/4.6%)			1-Jul-26	0.6% (spot ref: 0.8600)
Sell EUR/SEK via 3m risk reversal (strikes 10.60/11.0655)	7-May-26	0% (spot ref: 10.8224, vol refs 5.8%/6.3%)			23-Jun-26	-0.72% (spot ref: 11.05)
Buy USD/CAD via 3m 1.41 call	30-Mar-26	0.47% (spot ref 1.3920, vol ref 5.61)			19-Jun-26	0.48% (spot ref: 1.4160)
Buy 3m EUR/NOK call spread (strikes 11.45/11.65)	5-Mar-26	0.4345%	-	-	5-Jun-26	Expired OTM (spot ref: 10.8829)
Sell GBP/USD	23-Mar-26	1.3420	1.3000	1.3850	14-May-26	1.3397
Buy AUD/NZD	26-Mar-26	1.1960	1.25	1.17	28-Apr-26	1.2177
Buy 3m EUR/USD 1.22/1.2350 call spread RKI 1.2550 (barrier on 1.2350 leg)	28-Jan-26	0.35% (spot ref: 1.2000)			28-Apr-26	Expired OTM (spot ref: 1.1712)
Buy 3m NZD/USD put spread	16-Jan-26	0.3349% (spot ref: 0.5744)			16-Apr-26	Expired OTM (spot ref: 0.5890)
Buy 3m EUR/CHF risk reversal	5-Mar-26	Zero-cost (spot ref 0.9060, strikes 0.9155 / 0.8831, vol 5.27 / 6.0)			31-Mar-26	1.175% EUR (spot ref 0.9250)
Buy NOK/SEK	16-Dec-25	0.9133	0.93	0.9030	5-Feb-26	0.93
Buy 6m 1.23-strike EURUSD digi call	21-Nov-25	10.6% (spot ref 1.1530, vol ref 6.3)			28-Jan-26	34.8% (spot ref: 1.2025, vol ref 8.2%)
Buy 3m AUD/USD 0.61 one-touch	21-Nov-25	22.5% (spot ref: 0.6450)			16-Jan-26	3.5% (spot ref: 0.6684)
Buy 3m USD/JPY 1x2x1 call fly (157/161/165)	21-Nov-25	0.40%			12-Jan-26	0.67% (spot ref: 158.15)
Sell 1y EUR/GBP risk reversal	21-Nov-25	Zero-cost (spot ref 0.8825, strikes 0.8670 / 0.95, vol 5.3 / 6.65)			8-Jan-26	0.8% EUR (spot ref 0.8680)
Buy 3m USD/CAD put, 1.36 strike	6-Oct-25	0.22% USD (spot ref 1.3962, vol ref 4.74)			6-Jan-26	Expired OTM (spot ref 1.3794)
Buy 6m EUR/GBP put spread	1-Jul-25	0.52% EUR (spot ref 0.8575, strikes 0.8530/0.8350)			31-Dec-25	Option expired OTM (spot ref 0.8717)
Buy 1y EUR/JPY call	25-Mar-25	1.41% EUR (172-strike, spot ref 162.70)			21-Dec-25	6.6% EUR (spot ref 184.60)
Buy 3m EURSEK put spread	8-Sep-25	0.32% EUR (strikes 10.90/10.80, spot ref10.9750)			4-Dec-25	Expired OTM (spot ref 10.94)
Sell GBP/AUD	2-Oct-25	2.0380	1.9720	2.06	13-Oct-25	2.06
Buy 3m USD/JPY call spread	14-Jul-25	0.6426% USD (strikes 150/155, forwards ref 145.86, vol refs 9.94 and 9.75)			8-Oct-25	1.6% (spot ref 152.54)
Buy EUR/USD	12-Aug-25	1.1612	1.20	1.1392	7-Oct-25	1.1675
Buy CHF/JPY	8-Sep-25	184.30	189.00	182.00	7-Oct-25	189.00
Buy AUD/USD	10-Jul-25	0.6546	0.69	0.6570	12-Sep-25	0.6659 (raise stop to 0.6570)
Buy 6m EUR/CHF ratio call spread	5-Mar-25	0.53% EUR (spot ref 0.9550, buy 1 unit 0.9450 strike call; short 2 units of 0.97 strike call			4-Sep-25	Option expired OTM (spot ref 0.9380)
Buy 1y USD/CAD RKO put	13-May-25	0.33% USD (1.36-strike with 1.30 RKO barrier, spot ref 1.3997, vol ref 5.915)			24-Jul-25	0.4228% USD (spot ref 1.36)
Buy USDJPY	19-Jun-25	145.25	152	142	14-Jul-25	147.37
Buy EUR/USD	22-Apr-25	raised stop to 1.12 , spot ref 1.1503 target 1.19	1.19	1.12	19-Jun-25	1.1466
Buy AUD/JPY	28-May-25	92.80	100	89.50	19-Jun-25	94.18
Buy 3m AUD/NZD call seagull	17-Apr-25	Receive 0.3% AUD,			9-May-25	0.7045% AUD (spot ref 1.0863)
Short CAD/MXN	11-Mar-25	6m fwd 14.5166 (spot ref 14.0467)	13.00	14.50	13-May-25	6m fwd 14.1360

Source: BofA Global Research

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Trade Recommendations EM

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Exhibit 21: EM Alpha Trade Recommendations
Open trades

FX	Entry date	Entry	Current	Target	Stop	Notional	Rationale/ Time horizon	Risks
Short THB vs long INR & MYR (equal weighted basket)	31-Aug-26	100 (indexed)	100.00	103.00	98.00	10	a) Favorable carry-to-volatility dynamics in INR (high carry/low volatility) vs THB (low carry/high volatility), b) divergence in CB reaction function (BoT exhibiting more dovish policy bias with more tolerance to inflation spike and less resistance to FX weakness) based on c) NEER valuation divergence (INR appears undervalued vs THB NEER has been elevated) while d) hedging out sensitivity to oil price fluctuations. We believe RBI is willing to spend incremental reserves to prevent INR weakness beyond 96/USD level.	Risk to the trade: a) USD weakness leading to unwinding of b) moderately crowded THB positions or from c) RBI rather opting to preserve reserves and tolerate INR weakness
Buy AUD/SGD	2-Sep-26	0.91	0.91	0.93	0.90	10	We are bullish AUD/USD into year-end and expect the RBA to hike rates in September, with a consecutive hike in Nov '26 (current pricing: 30bps) now a distinct possibility. Short SGD is an attractive funder because investors earn roughly 2.5% annualized carry while the currency's position near the top of the MAS policy band limits downside risk.	Risk-off/ disinflation trade (lower gold, lower risk assets)
Short USD/PEN	11-Aug-26	3.37	3.36	3.20	3.50	-	Improving terms of trade will provide a powerful tailwind to the Peruvian sol, given Peru's high exposure to copper and gold prices. Peru's growth outlook should also turn increasingly supportive for the exchange rate, with GDP growth accelerating from 3.5% in 2026 to 4.4% in 2027.	Risks are central bank intervention to cap PEN appreciation, and global risk off. Timeframe six months.
Enter 2M 7.55 EUR/CNH digital put	17-Jul-26	7.55	7.81	-	-	10	We premise this trade on the growing divergence in export competitive and performance between China and the Euro Area. Contemporaneously, China is allowing its USD/CNY fixings to grind lower, even though the trade-weighted CFETS value of its exchange rate is close to an historical high.	The key risk to this trade is the underlying weakness in China's domestic economy despite its superlative export performance. Indeed, 2Q GDP registered a disappointing 4.3% growth rate.
Buy USDIDR 17.7k/18k 3m call spread	14-May-26	45 bps	17660.00	171 bps	0 bps	10	Flows are likely to remain negative in the near-term with upcoming MSCI rebalancing and ongoing DNDF maturities. Any possible tightening by Bank Indonesia would have a positive signaling effect on IDR in the near-term.	Risks to the trade arise from aggressive tightening or intervention from Bank Indonesia or implementation of capital flow measures
Enter 3M dual digital (Aug 7) USD/INR > 97 and USD/KRW < 1430 for 9.5% USD	7-May-26	>97, <1,430	94.5; 1,356	-	-	10	AI led capex investment boom are increasingly evident in NE Asia, supporting Korea and Taiwan growth. This is shaping interest rate expectations and relative performance in Asia FX, specifically INR/KRW.	Equity flows more favorable to INR and against KRW.
Sell EUR/BRL	23-Apr-26	5.80	5.91	5.50	6.10	10	Iran conflict means higher commodities. Higher inflation means higher real rates. Election means hopes of better policies.	Dovish monetary surprise or fiscal stimulus that worsens the election outlook.

Exhibit 21: EM Alpha Trade Recommendations
Open trades

Long USD/ZAR	27-Mar-26	17.15	16.00	18.00	16.00	10	Global outlook for EM asset to deteriorate from here. The ZAR is too strong if global growth slides. The ZAR is the best short in EEMEA, better than the HUF, as the ToT shock for SA is likely to be stronger than for Hungary.	The risks are a quick resolution of the war and lower-than-expected energy prices, as well as higher-than-expected gold prices.
3M USD/CNH vanilla put with American Knock In at 6.91	2-Mar-26	6.89	6.72	6.70	-	10	CNY outlook is complex as PBoC tempers appreciation and Middle East conflict lift near-term USD/CNH upside risks.	Knock-in not triggered resulting in unhedged CNH appreciation exposure to USD/CNH 6.70 and below
Long INR vs SGD	3-Feb-26	71.32	74.48	70.00	72.50	10	Consensus bearish INR positions and repeated disappointments earlier on trade deal lowered the bar for a positive surprise leading to bearish sentiment and potentially under hedging by exporters even as CA flows improve this quarter.	Dovish RBI policy bias or continued equity outflows.
Buy 2M USD/KRW 1370 digital vs. Sell 2M USD/THB 31.90 Digital	28-Jan-26	1,370; 31.9	1,356; 33.0	-	-	10	KRW supported by AI-led export cycle, policy bias, and NPS/RIA-related inflows should mean KRW outperformance and higher vol.	Risk to the trade is a capital loss of 100% of notional at an expiry of above USD/THB 31.90 from selling a 2M USD /THB 31.90 digital

Source: BofA Global Research. Spot values as of September 3, 2026. Bid/offer spreads accounted for in initiation and closing levels. Does not reflect tax withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. Initiation and closing prices are priced as of trade publication

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Exhibit 22: Closed trades
List of closed trades over the past 12 months

Trade	Open Date	Open Price	Target	Stop	Notional	Closing Date	Close Price
Short USDTRY in 2m forward	26-May-26	48.80	Hold the forward until maturity	-	-	3-Aug-26	Held the forward until maturity
Long PEN vs. CLP & MXN basket	5-May-26	100.00	104.47	98.00	10	8-Jul-26	105.0
Short THB vs long KRW	4-May-26	45.26	43.50	46.50	10	29-Jun-26	46.1
EURCZK: buy ATM straddle	12-Mar-26	EURCZK: 24.412, cost of straddle: 1.3666%	-	-	10	12-Jun-26	24.1
Receive INR NDOIS 1y spot	22-May-26	0.06	0.06	0.07	10	5-Jun-26	0.1
Long SGD NEER (ex-MYR)	30-Apr-26	1.37% above mid	0.02	0.01	10	29-May-26	0.0
Short 1y1y CLP/UF inflation breakeven	22-Apr-26	3.60	3.10	4.00	10	27-May-26	3.1
Long CLP/COP	5-Mar-26	4.13	4.60	4.00	10	20-May-26	4.2
Long USD/MXN	10-Jul-25	18.62	20.00	18.00	10	30-Apr-26	17.5
Short USDNGN using OMO bills	12-Feb-26	OMO: 95.3; USDNGN: 1,354.7	4.5% total return	-2.5% total return	10	30-Apr-26	OMO: 99.5; USDNGN: 1,375
Long BRL/MXN	19-Aug-25	3.45	3.80	3.20	10	23-Apr-26	3.5
Short USDTRY using 3m forward	20-Jan-26	46.20	43.90	47.60	10	22-Apr-26	44.9
Long BRL/COP	7-Oct-25	724.00	775.00	675.00	10	12-Mar-26	710.0
Long USDPHP NDF	6-Jan-25	59.14	60.50	58.00	10	12-Mar-26	59.7
Long USD/ZAR	23-Jan-26	16.13	16.78	16.23	10	8-Mar-26	16.8
Short SGD NEER for carry and hedge vs short USD	29-Jan-26	1.68	1.30	2.00	10	4-Mar-26	1.5
Buy inflation-linked BONCER 12/15/2027	22-Jan-26	212.00	0.10	-0.05	10	23-Feb-26	0.1
Sell JPY/KRW	29-Jan-26	9.35	9.00	9.55	10	20-Feb-26	9.3
Buy USDKRW put spread 1425/1400 strikes	21-Nov-25	34.4 bps	34.4 bps	1400 lower strike	10	26-Jan-26	1430.0
short USDKZT via 6m NDF	15-Dec-25	553.43	525.75	570.00	10	-	525.8
Argentina: Buy BONTE 2030, FX-unhedged	9-Dec-25	109.00	0.10	-0.05	10	22-Jan-26	115.0
Receive USDTWD 2x5 NDF	4-Aug-25	-398pips	-525pips	-335pips	10	--	--

Exhibit 22: Closed trades
List of closed trades over the past 12 months

Long EGP 3m T-bill FX-unhedged	2-Dec-25	USDEGP: 47.52; T-bill price: 93.87	Total return 4.5%	Total return - 2.5%	10	12-Jan-26	47..2
Buy 21-Apr-26 OMO bill in Nigeria FX-unhedged	22-Oct-25	yield 18.45%; USDNGN: 1470	--	--	10	9-Jan-26	1424.8
6m USD/CNH 6.85 digital put (spot ref 7.1150)	21-Nov-25	10.5% of notional	--	--	10	8-Jan-26	39.6
Long ZAR/MXN	5-Nov-25	1.07	1.12	1.04	10	7-Jan-26	1.1
Short USD/THB	12-Nov-25	32.85	31.50	33.00	10	2-Dec-25	31.7
Argentina: Buy Boncer 2027	5-Sep-25	0.00	10.00	-5.00	10	9-Dec-25	10.0
Indonesia – Pay IDR points	25-Mar-25	59.50	85.00	40.00	10	23-Nov-25	1060.0
Buy USDHKD 12-month outright	26-Nov-24	7.75	7.78	7.72	10	23-Nov-25	7.8
Buy 6M USD/SGD 1.45 instant one-touch	22-Nov-24	0.12	0.50	0.00	10	23-Nov-25	1060.0
Short CNH, long basket	17-Nov-23	98.07	94.00	102.00	10	23-Nov-25	98.0
Sell EUR/CLP	18-Aug-25	1129.00	1060.00	1160.00	10	17-Nov-25	1060.0
Long LECAP 11/10/2025	23-Apr-25	34.50	-	-	10	10-Nov-25	23.7
Short USDKZT 6m NDF	19-Aug-25	570.00	541.00	587.10	10	4-Nov-25	541.0
Short SGD NEER	11-Apr-25	0.01	0.00	0.01	10	3-Nov-25	0.0
Long USD/PEN	31-Jul-25	3.58	3.68	3.41	10	22-Oct-25	3.4
Long ZAR, CZK and PLN against USD in the ratio of 3:2:1	19-Aug-25	16.40	15.83	16.73	10	7-Oct-25	1.5
Long CLP/COP	8-May-25	4.51	5.00	4.10	10	11-Sep-25	4.1

Source: BofA Global Research. Bid/offer spreads accounted for in entry and closing levels. Does not reflect tax, withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. For additional discussion on baseline views, valuation and risks to closed trades, please see the relevant reports. Trade recommendations are highlighted green when the closing value is greater than the entry value and red when the closing value is less than or equal to the entry value.

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World At A Glance Projections

Exhibit 23: G10 FX forecasts
Forecasts as of 3-Sep-2026

	Spot	YE 26	Mar-27	Jun-27	Sep-27	YE 27	YE 28
G3							
EUR-USD	1.16	1.15	1.16	1.18	1.19	1.20	1.22
USD-JPY	155	149	149	148	146	145	145
EUR-JPY	181	171	173	175	174	174	177
Dollar Bloc							
USD-CAD	1.38	1.40	1.40	1.40	1.38	1.38	1.36
AUD-USD	0.72	0.71	0.72	0.72	0.73	0.73	0.73
NZD-USD	0.59	0.59	0.61	0.61	0.62	0.62	0.62
Europe							
EUR-GBP	0.86	0.84	0.84	0.84	0.83	0.83	0.83
GBP-USD	1.35	1.37	1.38	1.40	1.43	1.45	1.47
EUR-CHF	0.94	0.93	0.94	0.94	0.95	0.95	0.95
USD-CHF	0.81	0.81	0.81	0.80	0.80	0.79	0.78
EUR-SEK	11.11	11.00	10.80	10.60	10.50	10.40	10.30
USD-SEK	9.56	9.57	9.31	8.98	8.82	8.67	8.44
EUR-NOK	10.80	11.50	11.30	11.20	11.00	10.90	10.70
USD-NOK	9.29	10.00	9.74	9.49	9.24	9.08	8.77

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 3 Sep 2026

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Exhibit 24: EM FX forecasts
Forecasts as of 3-Sep-2026

	Spot	YE 26	Mar-27	Jun-27	Sep-27	YE 27	YE 28
Latin America							
USD-BRL	5.10	5.00	5.00	5.00	5.00	5.00	5.00
USD-MXN	16.98	17.50	17.75	18.00	18.25	18.50	19.00
USD-CLP	932	900	890	880	870	860	850
USD-COP	3,147	3,200	3,250	3,300	3,350	3,400	3,700
USD-ARS	1,509	1,600	1,700	1,800	1,900	1,900	2,100
USD-PEN	3.36	3.20	3.17	3.16	3.15	3.15	3.15
Emerging Europe							
EUR-PLN	4.33	4.28	4.25	4.22	4.18	4.15	4.10
EUR-HUF	366.44	353.00	350.00	347.00	345.00	345.00	340.00
EUR-CZK	24.20	24.30	24.00	23.70	23.50	23.30	23.00
USD-ZAR	16.00	16.40	16.30	16.00	15.80	15.60	15.30
USD-TRY	48.31	51.70	53.80	55.90	57.90	60.00	73.20
EUR-RON	5.25	5.25	5.29	5.33	5.36	5.40	5.52
USD-ILS	3.01	3.05	3.00	2.95	2.93	2.91	2.90
Asian Bloc							
USD-KRW	1,356.65	1,410	1,400	1,400	1,380	1,380	1,380
USD-TWD	31.77	31.70	31.60	31.50	31.30	31.10	31.10
USD-SGD	1.27	1.30	1.29	1.29	1.28	1.28	1.28
USD-THB	33.00	33.00	32.50	32.50	32.50	32.00	32.00
USD-HKD	7.84	7.85	7.83	7.82	7.80	7.80	7.80
USD-CNY	6.72	6.60	6.60	6.50	6.50	6.50	6.50
USD-IDR	17,660	18,000	18,100	18,200	18,200	18,200	18,200
USD-PHP	62.52	63.00	64.00	65.00	65.00	65.00	65.00
USD-MYR	4.04	4.10	4.05	4.05	4.05	4.05	4.05
USD-INR	94.49	98.00	98.50	99.00	99.00	99.00	99.00

Source: BofA Global Research, Bloomberg. Note: Forecasts as of 3 Sep 2026

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